

Activity 3 – First principles Ethical Test

- Student name = eamonn kelly
- Student number = D24127620
- Date = 18th Mar 2026

First Principles Ethical test (O’Keefe and O’Brien, 2018)

- Product Name = **Revolut Personal Loans**

What is the outcome	Yes	No
Does it preserve or enhance human dignity?	It is providing access to funding which is essential in a modern society to allow economic and personal growth. In that sense yes.	<u>If there is rejection of Loan applications due to inherent bias in a ML model, then it may not enhance human dignity for all, it could discriminate against minorities for example</u>
Does it preserve the autonomy of the human?	Once the user has the ability to give Free and fully Informed consent end user autonomy is preserved. Also explicitly states a user does have a right to opt out of solely automated decisions under GDPR regulations, that significantly affects them and ask for a manual review of the decision.	However, also says “Sometimes, we won’t be able to agree to your request (for example, if we have a legitimate reason for not doing so or the right does not apply to the particular information we hold about you.” which is <u>contradictory</u> . https://www.revolut.com/en-IE/legal/privacy/
Is the processing necessary and proportionate?	This is open to question due to lack of disclosure concerning processes and procedures.	<u>Lack of disclosure of the decision-making process and data used, means we cannot confidently answer this at this time.</u>
Does it uphold the common good?	<u>Yes, once there is no discrimination and there is explainability</u>	If there is inherent discrimination or bias in the decision-making process and no explainability, it will not uphold the common good.

What is the outcome of the product that we are evaluating

We cannot confidently say that the product passes all 4 tests, as the required information is not publicly available. As it stands the product may violate some of these four tests, depending on the processes that are actually in place. As such we outline mitigations below which would need to be put in place to ensure the product does not violate each of the first principle ethical tests.

Recommendations- Mitigation

Does it preserve or enhance human dignity? (O'Keefe and O'Brien, 2018)

- Mitigation 1
 - need to ensure training data used is balanced and contains no inherent bias
 - particular care must be taken around minority groups, with adequate testing performed, particularly around outlier use case scenarios, prior to roll out.

Does it preserve the autonomy of the human? (O'Keefe and O'Brien, 2018)

- Mitigation 2
 - Need detailed process steps for how a user can request non-automated decision, i.e. a decision by a human. It is unclear at present how that process works.
 - Need a full list of data retained per user, so a user can make a free and informed decision as to whether or not they wish to provide that data.

Is the processing necessary and proportionate? (O'Keefe and O'Brien, 2018)

- Mitigation 3
 - Need better transparency about what data is required to make credit decisions, and provide explainability in decision making process.
 - If additional profiling is performed that needs to be detailed, so a user can make a decision as to whether or not they wish to proceed with the loan application.
 - Need details re data governance approach concerning storage, access, retention and sharing with 3rd parties, such as CCR and CRIF, and an outline of safeguards in place to ensure no GDPR breaches take place involving those 3rd parties.
 - This is becoming a more common product/service from financial institutions, as such an industry standard should be defined by a governing authority or representative body, and made available publicly, outlining specifically what information is required to apply for an online loan and for an automated decision to be made, particularly whether the inclusion of additional personal profiling using social media or other publicly available sources, is appropriate, as well as outlining of an applicant's rights.

Does it uphold the common good? (O'Keefe and O'Brien, 2018)

- Mitigation 4
 - Yes, once there are appropriate safe guards in place around data usage, processing, profiling, transparency and explainability in decision making processes and users GDPR rights are upheld.

References

- O'Keefe, K. and O'Brien, D. (2018) *Ethical Data and Information Management: Concepts, Tools and Methods* (1st. ed.). Kogan Page Ltd., GBR.
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